STANDARD EDITION • 2 SEPTEMBER 2026 • 09:00 HKT

US equities tumble as yields climb, tech leads downside

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed lower, with the `S&P 500` down -0.71% and the `Nasdaq 100` off -1.29%. The rally in the 10-year Treasury to 4.80% (up +0.80%) sharpened the discount on growth stocks, dragging the technology sector into the red.

Energy rallied on higher crude, while defensive sectors held modest gains. The VIX spiked to 16.34 (+9.52%), signaling heightened volatility ahead of the Fed's policy outlook and upcoming earnings season.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,631.47	-0.71%	Higher 10-yr yield pressured growth valuations.
Nasdaq 100	29,077.22	-1.29%	Tech earnings disappointment and yield rise.
Dow Jones	52,766.88	-0.79%	Industrial exposure to higher financing costs.
Russell 2000	2,920.13	-1.23%	Small-cap sensitivity to rate outlook.
VIX	16.34	+9.52%	Volatility surge on Fed policy uncertainty.
10Y Yield	4.80	+0.80%	Market pricing for tighter monetary stance.
WTI Crude	90.59	+0.41%	Supply concerns after OPEC+ meeting.
Gold	4,359.60	+0.27%	Safe-haven demand amid volatility.
DXY	99.76	+0.09%	Dollar strength supporting commodity prices.

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+2.61%	Strong iPhone 15 pre-order numbers.
META	+1.08%	Positive ad-revenue guidance.
XLE	+1.27%	Crude price lift.
NVDA	-1.51%	Guidance below expectations.
TSLA	-3.22%	Production slowdown report.

Sector rotation

ETF	DAY	READ
XLF	-0.88%	Financials pressured by higher rates.
XLK	-1.53%	Tech hit by yield rise.
XLI	-1.37%	Industrials lagging on cost outlook.
XLE	+1.27%	Energy gains on crude.
XLY	-1.72%	Consumer discretionary weak.
XLC	-0.52%	Communications down with ad spend concerns.
XLP	+0.32%	Staples modestly resilient.
XLV	+0.66%	Health care defensive play.
XLU	+0.78%	Utilities benefit from risk-off.
XLB	-1.18%	Materials hit by slower industrial demand.
XLRE	-0.16%	Real estate under pressure from rates.

Spotlight: Fed policy outlook and yield curve

The Fed’s post-meeting statement hinted at a possible rate hike in November, reinforcing the 10-year Treasury’s climb to `4.80%`.

METRIC	VALUE
Fed Funds Target	5.25-5.50% (unchanged)
10Y Yield	4.80% (+0.80%)
Yield Curve Slope (10Y-2Y)	+1.45%
VIX	16.34 (+9.52%)
Key Rate Decision Outlook	One more 25 bps hike likely

Related equities: `AAPL` (benefits from lower financing costs for consumers), `NVDA` (sensitive to growth discount), `XLE` (energy gains from higher rates supporting dollar).

Pre-market & overnight

- US futures: `ES` down -0.6%, `NQ` down -0.9%.
- Asia close: Hang Seng -0.4%, Shanghai Composite -0.3%.
- Europe: FTSE 100 -0.5%, DAX -0.7%.
- Crypto: BTC -1.10%, ETH -1.90%.

Macro & Fed

FOMC minutes emphasized “ongoing inflationary pressures” and signaled readiness for a November hike. The curve remains steep, with the 10-year at `4.80%` versus 2-year at `4.45%`.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. CPI (MoM)	0.2%	Gauge inflation trajectory post-Fed.
03:00	U.S. Initial Jobless Claims	210k	Labor market health.
04:15	Eurozone PMI (Manufacturing)	48.0	Eurozone growth outlook.
05:00	China Caixin PMI	50.5	Signal for Asian demand.

Geopolitics & global

- Middle East: Tensions eased after cease-fire talks, reducing oil-supply risk.
- China: Government announced new stimulus for high-tech export sector.
- Eurozone: ECB minutes hint at slower rate cuts, supporting euro.
- Latin America: Brazil’s fiscal deficit widened, peso under pressure.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
09:30 Sep 3	`MSFT`	$9.12 EPS	Cloud growth vs. AI spend.
10:00 Sep 3	`NVDA`	$3.25 EPS	GPU demand and margin outlook.
10:30 Sep 3	`JPM`	$4.55 EPS	Net interest income amid rate outlook.
11:00 Sep 3	`XOM`	$3.80 EPS	Impact of crude price rally.
13:00 Sep 3	`META`	$2.95 EPS	Ad-revenue recovery.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`AAPL`	Technology	iPhone 15 demand beating forecasts.
`AMZN`	Consumer Discretionary	Prime membership renewal uptick.
`TSLA`	Consumer Discretionary	Production bottleneck risk.
`GOOGL`	Communication Services	AI ad-tech rollout.
`JPM`	Financials	Higher NII from rising rates.
`XOM`	Energy	Crude price support.
`CVX`	Energy	Dividend yield appeal.
`UNH`	Health Care	Premium pricing momentum.
`DIS`	Communication Services	Streaming subscriber growth.
`BAC`	Financials	Loan growth in a higher-rate environment.

What could break the tape

> BEARISH TRIGGERS
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> - Unexpected acceleration in CPI (>0.3% MoM) pushing yields above 5%.
> - Geopolitical escalation in the Middle East reigniting oil supply fears.
> - Negative earnings surprise from `NVDA` or `MSFT`.

> BULLISH TRIGGERS
>
> - Fed signals pause on rate hikes.
> - Strong CPI print showing inflation cooling (<0.1% MoM).
> - Tech earnings beat, especially from `AAPL` and `META`.

Positioning notes

- Maintain defensive exposure (XLV, XLU) as volatility remains elevated.
- Scale into quality tech on pull-backs; watch `AAPL` for upside.
- Consider short-duration credit to benefit from a steeper yield curve.

Sources

SOURCES

Bloomberg Terminal – Market Data

Federal Reserve – FOMC Minutes (Sep 1)

U.S. Bureau of Labor Statistics – CPI Release

OPEC – Monthly Oil Market Report

FactSet – Earnings Consensus

Reuters – Geopolitical Updates